

CONFIDENTIAL**Report to Investors in The Children's Investment Fund****Period: 1st October 2005 to 31st December 2005**

Dear Investor

Returns

Returns to investors for this period, net of (a) management and accrued incentive fees and (b) monthly and annual accrued charitable donations from the fund, are shown below:

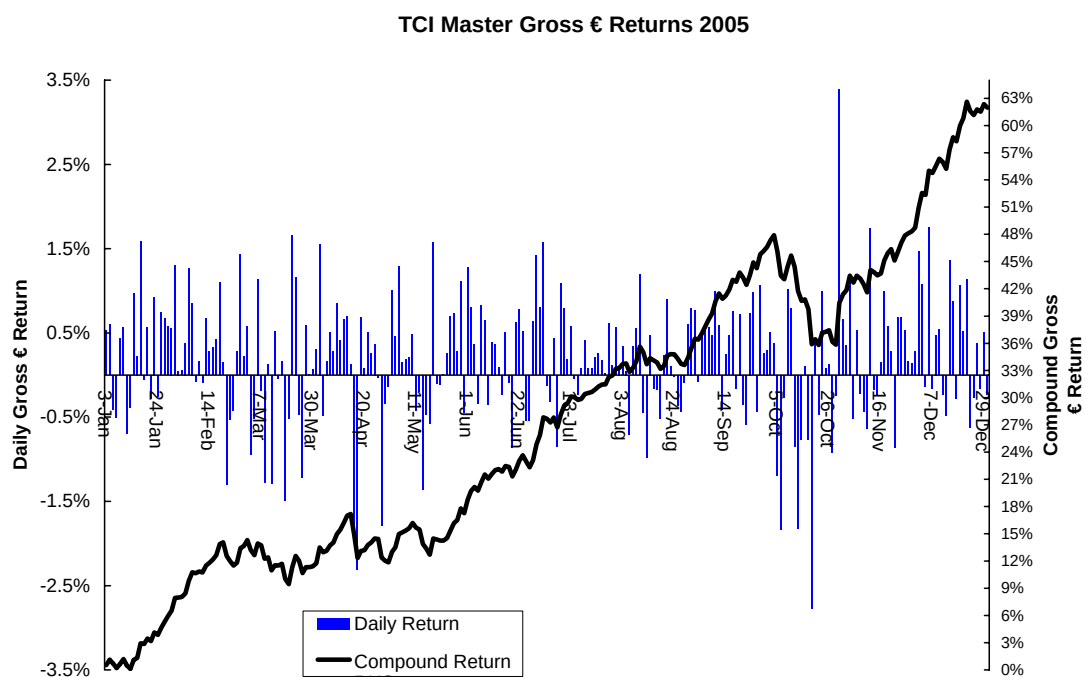
Period	Master Fund Assets €m	Class A (3yr) \$	Class B (5yr) \$	Class A (3Yr) €	MSCI Europe (€)	S&P500 (\$)	MSCI World (\$)
January 05	1,960.4	+6.45%	+6.68%	+6.51%	+1.45%	-2.53%	-2.31%
February	2,265.0	+3.80%	+3.90%	+3.83%	+2.72%	+1.89%	+3.01%
March	2,274.7	-1.07%	-1.07%	-1.04%	-0.74%	-1.91%	-2.17%
Q1		+9.32%	+9.65%	+9.44%	+3.44%	-2.59%	-1.55%
April	2,501.6	-0.02%	-0.02%	-0.05%	-3.07%	-2.01%	-2.39%
May	2,885.7	+3.46%	+3.59%	3.46%	+4.40%	+3.00%	+1.52%
June	3,270.9	+6.15%	+6.35%	6.15%	+3.24%	-0.01%	+0.71%
Q2		+9.80%	+10.13%	+9.77%	+4.48%	+0.91%	-0.21%
July	3,624.3	+4.47%	+4.61%	+4.41%	+4.06%	+3.60%	+3.43%
August	3,754.4	+2.03%	+2.08%	+1.88%	-0.51%	-1.12%	+0.56%
September	4,055.2	+7.11%	+7.31%	+7.03%	+4.33%	+0.69%	+2.47%
Q3		+14.17%	+14.59%	+13.86%	+8.01%	+3.15%	+6.57%
October	4,049.8	-3.68%	-3.77%	-3.80%	-2.81%	-1.77%	-2.49%
November	4,605.2	+5.06%	+5.20%	+5.06%	+3.37%	+3.52%	+3.14%
December	5,420.5	+7.92%	+8.12%	+7.72%	+3.73%	-0.10%	+2.14%
Q4		+9.21%	+9.45%	+8.86%	+4.21%	+1.59%	+2.73%
2005		+49.66%	+51.48%	+48.90%	+21.65%	+3.00%	+7.56%
Inception 1/04		+112.44%	+117.60%	+112.99%	+33.12%	+12.26%	+21.37%

Sources: Citco Fund Services; Bloomberg LP, TCI*

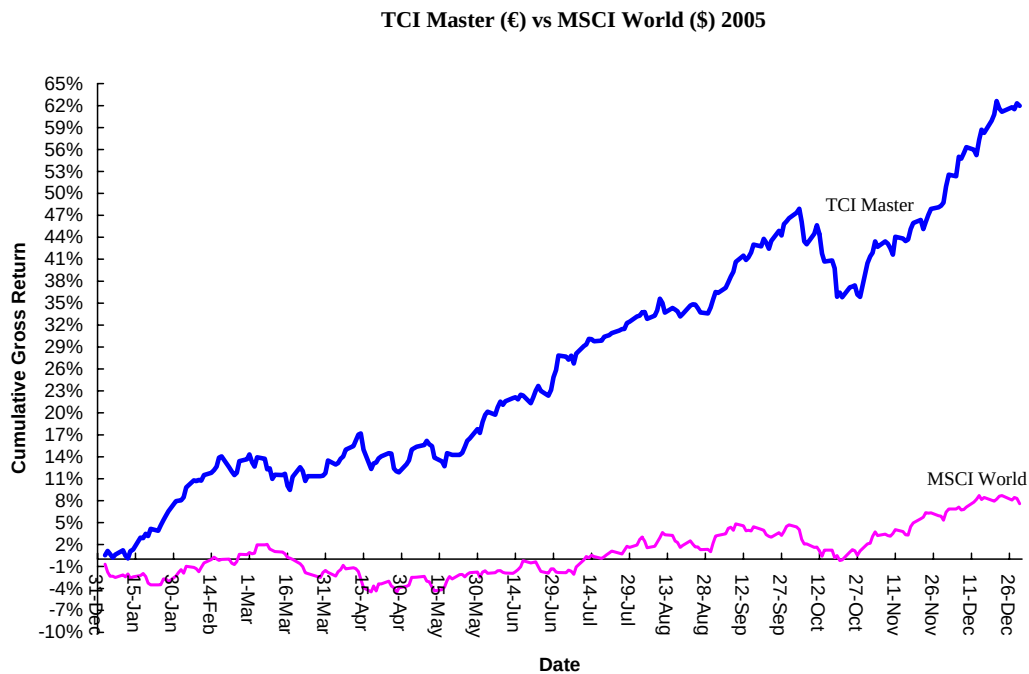
5 year Euro class returns were -3.90% in October, +5.19% in November and +7.91% in December giving a total return for 2005 of 50.70%.

*TCI is The Children's Investment Fund Management (UK) LLP.

Issued on behalf of The Children's Investment Master Fund by The Children's Investment Fund Management (UK) LLP. This report is prepared from sources we believe to be reliable. Some figures are estimates only and should be treated as such. The value of investments may go up or down and you may not get back your original investment. Past performance is not necessarily a guide to future performance. The strategy employed may result in the NAV exhibiting a high level of volatility and so is suitable for professional investors only. The Children's Investment Fund Management (UK) LLP is Authorised and Regulated by the Financial Services Authority.

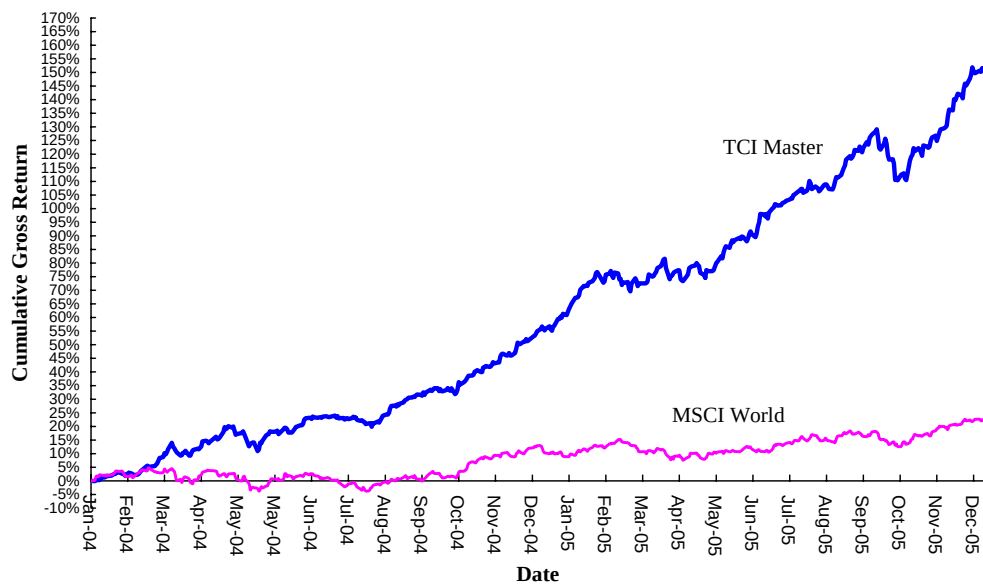


Source: TCI



Source: TCI

TCI Master (€) & MSCI World (\$) Since Inception



Source: TCI

Despite participating in the general weakness in global equity markets during October, The Children's Investment Master Fund (the Fund) recovered during November and December to produce very strong returns for the quarter and the year.

2004 and 2005 produced exceptional returns for the Master Fund in both absolute and relative terms. We were fortunate to find many seriously underpriced equity investment opportunities which we exploited aggressively. Indeed, we are pleased to say that our stated strategy of long biased concentrated value investing practiced on a global basis and reinforced with an activist approach to management and boards has worked very well for the first two years of the Master Fund's life.

It is not our normal expectation, and nor should it be that of any investor, that we can continue to produce returns of this magnitude. Our medium-term target continues to be, as we have stated from the start of the Master Fund, 10-15% net returns with limited risk of permanent capital loss (we do not mean by this limited risk of short-term drawdowns which cannot be promised and should be expected). I would also like to emphasise that our primary concern is always capital preservation first and returns second. This often leads us to seek lower upside but lower downside investments but which still yield good risk adjusted returns. We again advise investors to evaluate us over a medium-term (3-5 year period) rather than a short-term horizon.

Assets Under Management

In general, size of assets is an enemy of performance. The Master Fund's assets have substantially increased in 2005. Approximately half of this increase has come from performance of the Master Fund (some \$2bn of profits were generated in 2005 by the Master Fund). The remaining increase in assets came from the desire to invest in specific high conviction ideas that offered substantially better returns than the whole portfolio and at a time when we found the whole portfolio too attractive to sell. Moreover, we wished to have a scale of investment that would allow us to have influence over the management and boards

of the companies concerned with regard to strategy. The two primary examples of these specific needs for capital were our investments in Deutsche Boerse in Germany and Link REIT in Hong Kong. During 2005 Deutsche Boerse's stock price doubled and in the first two weeks after our investment in Link REIT in December 2005 it appreciated 20% from our purchase price vindicating our belief in the upside in these two ideas.

As of today the Master Fund has a substantial wait list of investors. However, on January 1st 2006 we took no additional external capital because, even though we currently have an excess of opportunities that meet our hurdle rates of return, we chose not to dilute these returns but rather increase leverage or sell lower upside potential investments.

General Partners' Investment in the Master Fund

On January 1st 2006, over 90% of the incentive fee earned by the Investment Manager's Partners (I estimate probably 97% on a post tax basis) was either invested back or committed to invest by February 1st 2006 into the Master Fund. Every analyst in the Firm invested or committed to invest by February 1st 2006 close to 100% of their post tax incentive fee share into the Master Fund. The largest partner in the Master Fund is now The Children's Investment Fund Foundation (US and UK). This will bring the total investment of the General Partner in the Master Fund to approximately 10% of the Master Fund. I hope and expect the size of this investment to increase strongly over time.

When we started the Master Fund we expressed a desire to be partners with our investors. This is impossible in my opinion unless (a) we have the vast majority of our net worth invested in the Master Fund and (b) this number in absolute terms is huge. Without this investors cannot be confident that we will not invest in excessively risky assets to gather the free call options offered by the standard hedge fund fee structure or that we will become yet another asset gathering machine focused on maximising management fees. We promise to keep "eating our own cooking" and to return capital when we no longer find an investment universe which will meet our return requirements. As the Investment Manager's Partners' investment in the Master Fund grows larger the incentives to do so will only increase.

TCI Focus Fund

The TCI Focus Fund was started in September 2004 as a vehicle to increase the firm's exposure to very attractive situations with high liquidity without increasing the Master Fund's assets. We decided to liquidate the Focus Fund in November 2005 and have returned virtually all its capital. Despite the Focus Fund, which invested in four stocks only, meeting our stated return targets (it returned some 24% net of fees) we felt that, given the increase in size of the Master Fund, its restrictions on entering stocks only when the Master Fund was full, would mean that it would not compound at as good a rate as the Master Fund. So despite having a 3 year lock up on the capital we thought that it would be in the best interests of our investors to voluntarily return all of the \$200m of capital invested in this fund.

Exposure Summary

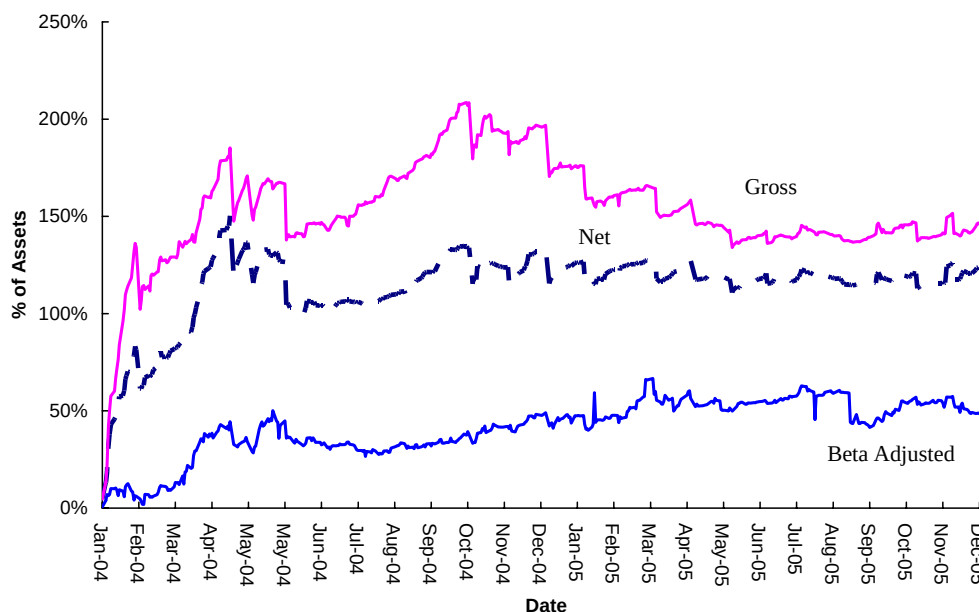
Gross and Net exposures were stable during the quarter.

% of Master Fund Net Assets

Period	Outright Longs	Outright Shorts	Long side Arbitrage and Pairs	Short side Arbitrage and Pairs	Gross	Net
End January 05	122.3%	-5.5%	27.4%	-18.9%	174.1%	125.3%
End February	125.4%	-5.0%	16.6%	-14.2%	161.2%	122.8%
End March	129.5%	-5.2%	16.4%	-13.6%	164.7%	127.1%
End April	129.7%	-4.4%	13.4%	-11.1%	158.6%	127.6%
End May	120.6%	-4.2%	9.7%	-8.2%	142.7%	117.9%
End June	123.1%	-3.6%	8.5%	-7.2%	142.4%	120.8%
End July	123.8%	-3.4%	10.2%	-7.8%	145.2%	122.8%
End August	118.6%	-3.0%	9.0%	-7.8%	138.4%	116.8%
End September	120.1%	-2.8%	13.7%	-9.8%	146.4%	121.2%
End October	121.9%	-3.9%	12.1%	-9.1%	147.0%	121.0%
End November	126.6%	-3.8%	11.9%	-8.9%	151.2%	125.8%
End December	117.8%	-2.1%	16.7%	-9.1%	145.7%	123.3%

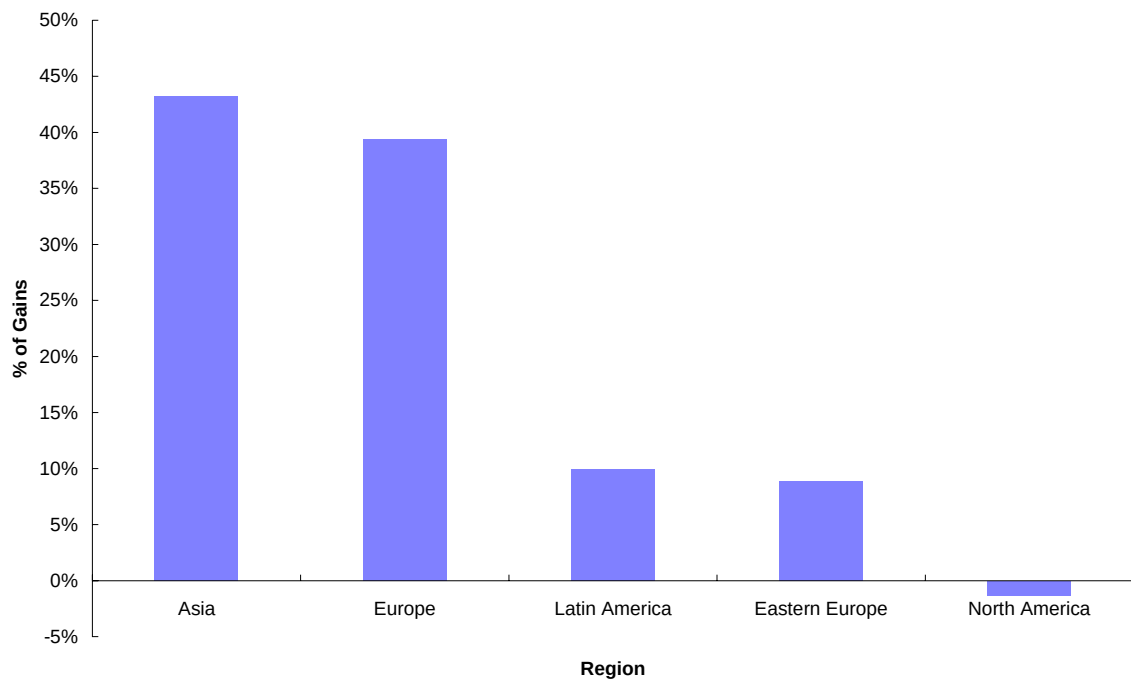
Source: TCI

TCI Master Fund Exposure Since Inception



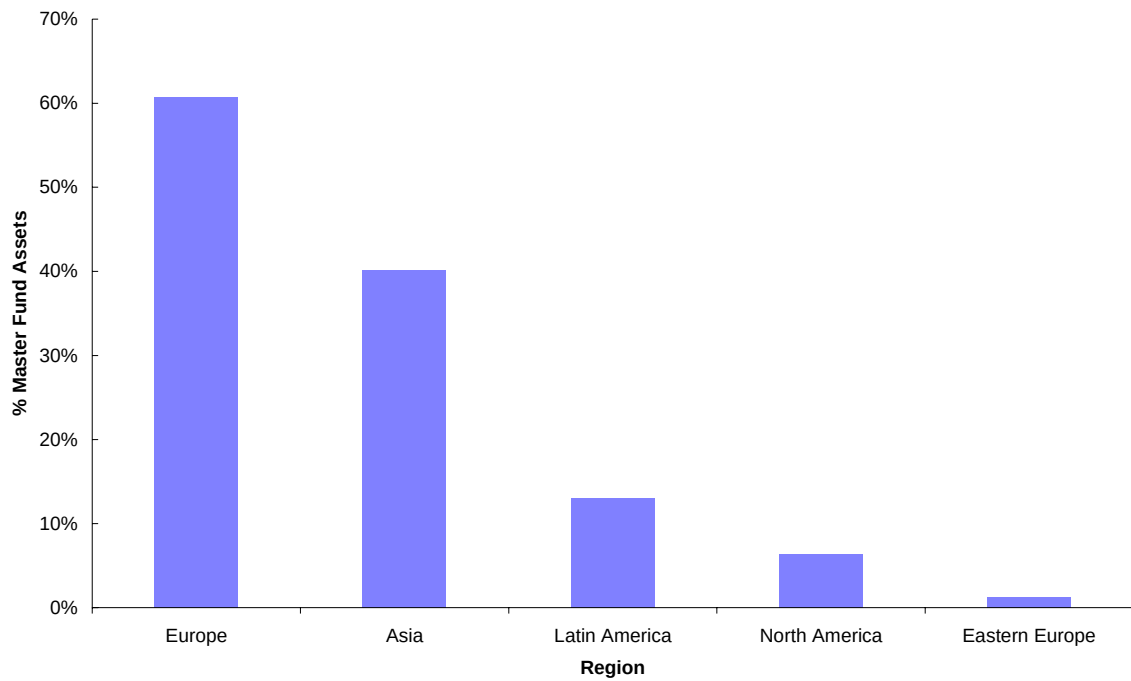
Source: TCI

Geographic Split of Gains in the Quarter



Source: TCI

Geographic Asset Split



Source: TCI

Performance Attribution During Q4 2005

Our Asian and European books contributed equally to performance this quarter with each producing around 40% of the total portfolio profits. Appendix 1 shows the key drivers of performance by position. Again Deutsche Boerse and Euronext were strong performers for the Master Fund's producing 28% of the Master Fund gains combined during the quarter. Our new position in Link REIT produced 20% of the Master Fund's gains. Our arbitrage in Gazprom produced some 8% of the Master Fund gains. Nearly all other material positions, with the exception of Autostrade, produced good gains in the quarter.

Performance Attribution during 2005

Appendix 1 also details where our major gains came from during all of 2005. Over the course of the year the strongest performers were Deutsche Boerse and Euronext (31% of gains combined). The rest of our gains were very broad based with most positions producing strong contributions during the year. We had no material losing positions during the year relative to NAV.

Portfolio Update

Deutsche Boerse and Euronext

Both companies continue to have strong trading volume growth year on year this quarter. Deutsche Boerse continues to repurchase shares which have now declined to 101 million from 112 million prior to the aborted bid for the London Stock Exchange.

During December Euronext publicly reported to the French stock market regulators that they had held discussions with Deutsche Boerse. The Financial Times also stated in an article that the companies had held merger discussions. We believe that we are the largest shareholder in each company, holding just under 10% of Euronext and over 12% of Deutsche Boerse. The next largest shareholders are publicly confirmed as Atticus and Harris Associates collectively holding 15% of Euronext and an estimated 10% combined in Deutsche Boerse. Both have stated in the Financial Times and Wall Street Journal during this year that they would strongly welcome a merger between the two companies. We believe that there would be very large synergies created from merging the two companies and feel that it is not acceptable to us that such discussions do not lead to a transaction.

Link REIT

During the quarter we initiated a new position of just under 11% of Master Fund NAV in an IPO of Link REIT. Link was a privatisation by the Hong Kong government of 180 shopping malls and car parking facilities representing some 10% of the retail space in Hong Kong. They are located primarily in public housing estates near mass transit systems and have substantial car parking assets also. We had studied and visited the assets for one year and came to a strong conclusion that they were substantially undermanaged assets. The average achieved rent of HK\$23 per square foot represents 40% less than comparable assets due to underpricing by Government owners with social rather than financial objectives and a highly sub-optimal tenant mix often paying little more than the service charges. A new management team has been installed from the private sector, including Sun Hung Kia Properties, to turn around the operation.

During the first three days of trading we purchased 18% of the company with an average price below \$12 per share. This represented a 2006 dividend and free cash flow yield of some 6% – above those of other REITs. However, we believe that the company is capable of doubling its current cash flows over the next 5-6 years through increasing rents, changing the tenant mix, refurbishing the properties and cutting costs by consolidating suppliers and potentially leveraging. If it achieves this we can make north of a 15% pa return on our investment over the next 5 years with hard asset backing protecting our downside.

The biggest risk in the investment is that the management team fails to execute on the operational turn around. In this scenario we are prepared to sell our stake to a strategic buyer, of which we feel there are several. The feasibility of this is enhanced by the fact that the company was sold with 100% free float and we are by far the largest shareholder. We have impressed upon the Chairman of the board that we want the company run with profit maximising goals and clear operational targets.

Cemig

Cemig announced during the quarter that it intended to securitise a debt owed by the State Government to it and pay out the proceeds in a special dividend representing some 6% of the market cap. We view this positively and believe that many tangible steps are being sought by shareholders which would materially protect the long term corporate governance risks in the company. Despite the strong rise in the share price from our average cost (up 50% including our dividends) we think the valuation remains compelling.

Gazprom

At the end of December the Russian government formally signed new decrees and laws which permitted foreigners to directly own Gazprom shares. We have now sold our Gazprom shares from our Russian companies to Cyprus companies owned by the Master Fund so that they are no longer liable for capital gains taxes. We are now share for share hedged with a short position against the Gazprom GDR making it a pure arbitrage. Once the company increases the GDR program's size in H1 2006 the shares and the GDR's will be fungible and we will close out our position. The spread has narrowed from a 60% premium of the GDR to the local price when we initiated our position in 2004 to now 6%, leading to good profits for the Master Fund during the quarter. We have fully accrued for capital gains taxes of 28% on our long side position in the Master Fund NAV.

Altria-Kraft

During the quarter we doubled a long standing position in Altria – short Kraft position to some 6% of Master Fund NAV. The catalyst for this was the anticipated and actual positive resolution of the Price-Miles litigation against Altria. Altria's CEO has publicly stated that on positive resolution of the major remaining major litigation cases outstanding (of which the Department of Justice and the Engle case remain now) they intend to spin off Kraft as a fully free float company to shareholders of Altria. We expect that this would be followed by the separation into two publicly traded companies of Philip Morris International and Philip Morris USA. This may not happen fully until 2007, although we would expect Kraft to be spun off towards the end of 2006.

Our investment is neutral to Kraft since we have shorted the proportionate share of Kraft owned by Altria. Philip Morris is the dominant tobacco company in the world representing

some 25% of all cigarettes sold outside of China. In most of its markets it has a 30-40% market share which has been increasing steadily. In the USA its market share is 50%. The entry free cash flow yield into Philip Morris is just under 8% and we believe that this can grow (primarily through real pricing of circa 2% pa) at some 6-7% pa without additional capital allowing the share price to compound at 14-15% pa. In addition, net of its SAB Miller stake Phillip Morris is unleveraged and we would expect the balance sheet to be leveraged through buybacks over time.

The major risk in the investment is the loss of litigation on the major outstanding cases. Engle is an appeal of a case already judged in the company's favour and the Department of Justice case has already lost on its original primary case arguing for disgorgement of gains from racketeering. Additional class action 'lights' cases are being attempted but the Price-Miles and other similar judgements are creating strong precedents that the decades long FTC regulation of the industry precludes such litigation. Moreover, more than 70% of the intrinsic value is in Philip Morris International which has never manufactured or sold cigarettes in the USA and which has been legally ringfenced since the 1960s. However, unanticipated legal outcomes are possible and it is not a risk free investment for this reason.

Japan

We have been increasing our investments in Japan this quarter, helped by the excellent work of our Asian team of Oscar Veldhuijzen and John Ho. John, in fact, recently spent several months based in Tokyo. Japanese investments for the Master Fund now represent close to 8% of Master Fund NAV. We expect this number to continue to increase. At this point we do not wish to elaborate on the investment thesis behind these positions but they fit within our normal fund strategy of strong businesses generating lots of free cash flow.

Chinese Future

During the Quarter we invested just over 3% of the Master Fund's NAV in the debt and equity (equal amounts) of Chinese Future. Chinese Future is a holding company for a single asset of a 25 year toll concession over the Ring Road around the city of Hangzhou in China. Hangzhou is one of the ten largest and wealthiest cities in China strategically located close to Shanghai in the Yangtze River Delta. It is an existing road, approximately 2 years old and was sold by the municipality. We own 25% of the equity, with the remainder owned by a successful local entrepreneur. The opportunity came to us in a non-auctioned process through a global investment bank familiar with our knowledge of the sector and shows our 'coming of age' as a respected fund to introduce proprietary idea flow to amongst the banking community.

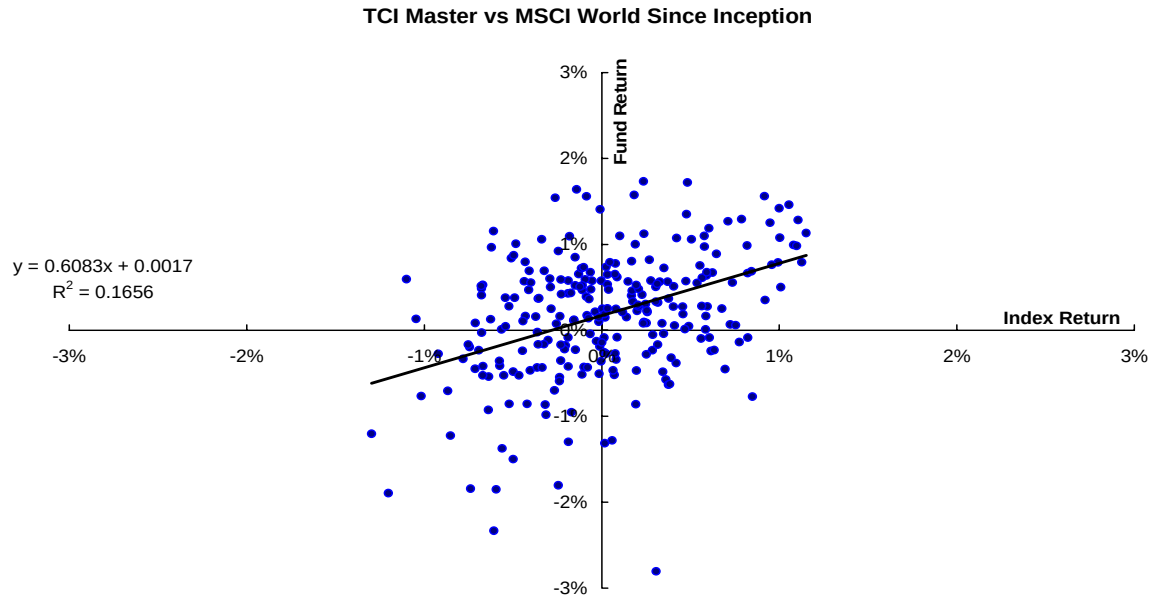
The traffic is growing on the road at 20% pa due to strong GDP growth and multiple major new roads about to link into the ring road over the next few years. The debt has a ten year duration and yields 12% over ten years and 14%+ to a five year call option which we expect to be exercised. We expect to make 20% + IRR's on the equity investment. We have a rigorous shareholder's agreement which allows us to IPO the company on the Hong Kong stock exchange at any time for a 10% minimum return or force a trade sale in later years.

New World Development

During the quarter we filed with 7% of this Hong Kong property company which we had purchased at less than half net asset value. We made very strong gains on the position and

reduced it when the 34% shareholder announced a defensive dilutive share issuance to related parties immediately after our filing in the shares. The regulators have recently forced the company to cut back to under 3% new shares issued the transaction because it is not legal to issue shares in this way to related parties without a bid for the whole company.

Market Correlation in 2005



Source: TCI

The Master Fund's market correlation stayed stable and low during the quarter. Our portfolio's correlation co-efficient (R) is 0.4 YTD which by way of comparison would be 1.0 for an index tracking fund which tracks MSCI World. In other words, the majority of our gains are clearly coming from stock selection in 2005.

Foreign Currency Exposure

The Master Fund continued to hedge its material non-base currency exposure as a general rule. Some currency exposures were left unhedged and these are shown below with their quarter end net positions. Except for Brazil the reason these currencies are not hedged are that we think either the currency is pegged to the dollar (Malaysia) or the investments are in dollarised assets.

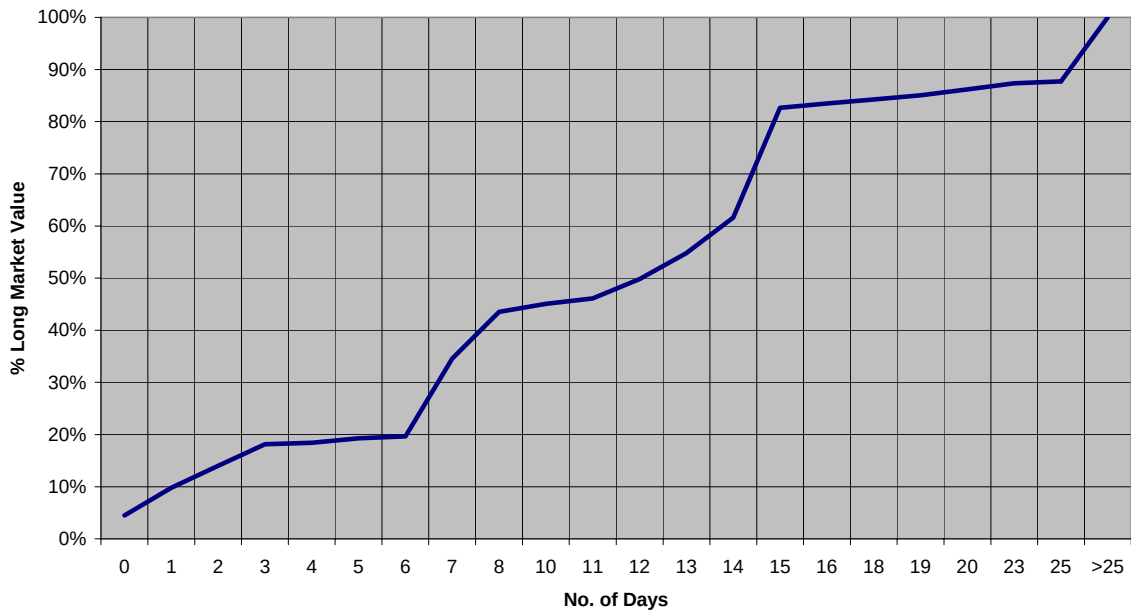
Summary of unhedged currency exposures (% of NAV):

Russia	1.3% net long
Malaysia	0.6% net long
Mexico	3.3% net long
Indonesia	2.0% net long
Brazil	9.8% net long
<u>China</u>	<u>1.7% net long</u>
<u>Total</u>	<u>18.7% net long</u>

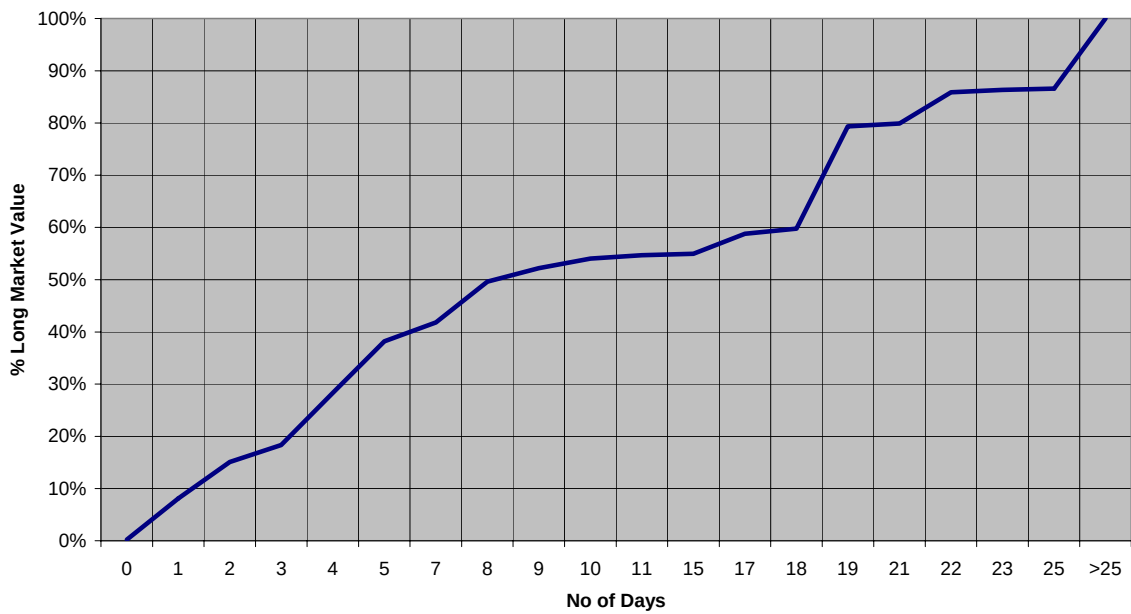
Source: TCI

Liquidity Analysis

TCI Master Fund Liquidity Profile Q3 2005



TCI Master Fund Liquidity Profile Q4 2005



NB: Analysis is based upon long positions only, including long side of share class arbitrages

Source: TCI

Liquidity has improved in the less than ten days market volume range from being 45% of the portfolio during Q3 2005 to 55% in Q4 2005. 80% or more of the portfolio remains within the less than twenty days market volume range.

Staffing

During the quarter we hired Robert Ottley from Gartmore as a Partner of the firm to assist Cathy O'Reilly in running the operations of the firm. Robert has worked at Gartmore for 12 years where he worked in a variety of operational roles, as well as more recently being responsible for the implementation and integration of operational processes across Gartmore's hedge fund businesses.

We also hired Tim Keough from Alliance Capital as a trader to assist Kenny Graham who has been our sole trader for two years. Tim has been trading global equities at Alliance Capital for two years based in London.

We currently have a search process underway for a general counsel with tax experience.

In Summer 2006 Rishi Sunak will join us from Stanford Business School as an analyst. He previously worked with Snehal Amin at Goldman Sachs private equity and worked as an analyst for TCI during the summer of 2005.

Our clear direction is to have each analyst be working in teams of two by the end of Q2 2006 – Oscar Veldhuijzen and John Ho on Asia, Patrick Degorce and Damien Tran on Europe, Stuart Powers and a future hire (which we are currently interviewing for) on Europe and global infrastructure, Snehal Amin and Rishi Sunak on emerging markets, North America and special situations. The advantage of this structure will be to create synergies between analysts with different but complementary experience and skill sets such as origination, analysis and investment judgement.

Summary

I am very pleased with the performance of our whole team during 2005 and they should be congratulated. Our effort, team work and analysis were all first class in my opinion. In 2006 analyst incentives are explicitly structured to incentivise both team work and overall Master Fund results and individual performance. I think that morale is high and we are looking forward to doing our very best for our investors again this year.

Summary of Other TCI Affiliated Funds

KDA Capital

KDA Capital, the European long only fund run by David Baverez and Krishnan Sadasivam, successfully launched on December 1st 2005. The fund currently has \$250m of assets and achieved 5.5% vs. 3.5% for MSCI Europe in December and is already up 4% in January. The firm has also further strengthened its investment team through the hiring of two further analysts – Steve Ikle and Stefan Lindblad – both also ex-Fidelity. David previously managed \$6bn of assets at Fidelity including their top performing Fidelity European Aggressive Fund.

TCI-New Horizon

TCI-New Horizon, the India long only fund run by Madhav Bhaskuly, began operations on October 3, 2005. The fund raised \$370m and has drawn half of this capital. The remaining capital will be drawn, sometime during Q1 2006, once the manager has fully invested the first drawing. The fund has achieved performance of 3.1% since inception (to December 31st 2005) and currently has a wait list of over \$100m.

Parvus

Parvus, the European small cap manager, headed by Edoardo Mercadante, had a fantastic 2005. Its long/short master fund (PEA) achieved 39.4% while its long only master fund (PEL) was up 41.2%. The firm is currently running \$1bn and is closed to new assets but has a wait list in excess of over \$100m.

For information on TCI or any of the funds it sponsors please contact Rahul Moodgal at rahul@tcifund.com or +44 20 7440 2384.

We thank you for your support in 2005.

Christopher Hohn
Managing Partner
The Children's Investment Fund (UK) LLP
January 10th 2005

The Children's Investment Fund Foundation ("CIFF")

The Children's Investment Fund Foundation 2005 Summary Review

The Children's Investment Fund Foundation was at the centre of several strategic and highly leveraged projects in the HIV/AIDS arena this past year. Examples of our contributions are set out below:

- CIFF, in partnership with the Clinton Foundation, brought paediatric anti-retrovirals to Africa for the first time. Through negotiations with the generic drug producer Cipla, CIFF guaranteed the one-time purchase of medications for 10,000 children to secure permanently affordable prices for these drugs (the future costs of which will be absorbed by the Global Fund, other bilateral funders and governments). In addition to CIFF's own contribution of \$500,000 toward this initiative, the Foundation raised \$4 million from individuals and foundations for the project. Over half a million children die annually from AIDS and until this initiative children have had relatively minimal access to treatment. There has been such enthusiasm for the initiative that the Clinton Foundation hopes to initiate treatment for an additional 50,000 children in 2006, ideally in partnership with UNICEF.
- CIFF funded a food security program with Save the Children in Malawi that, as a result of its crop diversification and irrigation components, has spared the majority of the 10,000 children targeted from extreme hunger during the terrible draught experienced by the country this past year (those affected have received food supplements). The project is now being evaluated as a better response to emergency feeding where draughts are recurrent by some of the major funders in this area.
- We have enabled the Speak for the Child project in Western Kenya to expand its model to ensure basic health, education, food security and psychosocial support from 250 children under the age of 5 to over 7,000 children under the age of ten. Findings of the evaluation demonstrate increases in vaccination completion rates from 50 to 85%, a doubling of children never or seldom having diarrhea, an increase from 40% to 80% of those enrolled in school and dramatic increases in the quantity and quality of food children are receiving. We have further brought two organisations from Ethiopia, Hundee and the Ethiopian Orthodox Church, to Western Kenya for a learning exchange with the project, resulting in replication of key aspects of the project in Ethiopia. We are now discussing extending the program to all high prevalence regions of Kenya.
- CIFF has been the core funder of the Clinton Foundation's work to provide the Indian government with the technical assistance to provide high quality HIV/AIDS care and treatment. Currently the country has fewer than 15,000 people on antiretroviral treatment but aims to have more than 100,000 on ARVs by 2007. At the same time, CIFF is sponsoring the Tamil Nadu Family Care & Treatment Program working in partnership with the government of Tamil Nadu to provide the most comprehensive free ARV treatment program in the country. CIFF intends to expand its efforts by working alongside the Clinton Foundation to ensure that food security and community support services are rolled out alongside the medical treatment.
- CIFF is funding the Heifer program to enable exceptionally vulnerable (often child-headed) families in Western Kenya to have a sustainable livelihood through the

provision and training in care of hybrid goats and kitchen gardens. The program is already proving such a success in transforming these households that Heifer would like to expand from the current 500 families enrolled to 10,000 in the region, integrating a marketing component to the program.

- CIFF worked this past year with the Global AIDS Alliance (“GAA”) to focus its advocacy efforts to secure adequate US federal funding for HIV/AIDS, and subsequently provided core funding for its program. GAA is credited with achieving in 2005 Congress’s first ever commitment to explicitly provide for orphans and vulnerable children and support universal education in Africa. The organisation is further viewed as a primary driver for the US’s continued funding of The President’s Emergency Plan for AIDS Relief (“PEPFAR”) and the Global Fund.

Though CIFF quadrupled its annual giving from \$1.8 to over \$7 million past year, it has struggled to keep pace with the inflow of assets from TCI. Planning for an organisational structure to meet this growth without compromising the quality of funding is the Trustees’ top priority for the Q1 2006. As part of this organisational growth we are thrilled to have recently hired Noerine Kaleeba as CIFF’s Africa Portfolio Manager for HIV/AIDS. A passionate and visionary leader, Noerine founded The AIDS Support Organization (TASO) in Uganda, the largest indigenous care and support organisation for people affected by HIV/AIDS in Africa. As part of the expansion plan, CIFF will be actively considering funding in the areas of water and/or education.

Jamie Cooper-Hohn
President
The Children’s Investment Fund Foundation
Jamie@cooperhohn.com

Appendix 1

Top Positions at Quarter End and Their Q4 Trading Gains

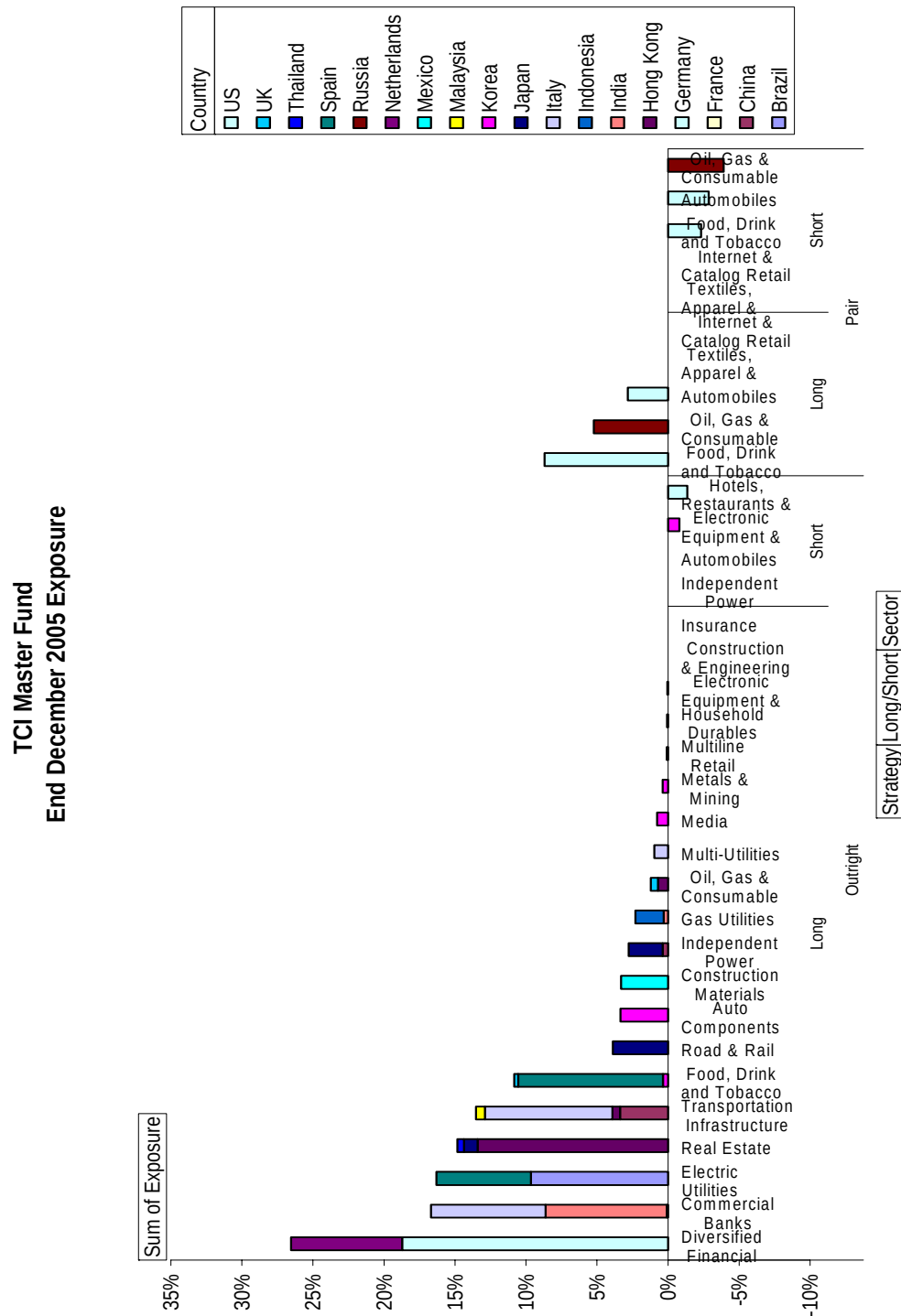
	% Master Fund Net	Country	Market Cap, \$bn	% of Q4 Trading	Trading Gains as % of End NAV
Deutsche Boerse	18.7%	Germany	11	15.5%	1.5%
Link REIT	10.8%	Hong Kong	4	20.6%	2.1%
Altadis	10.2%	Spain	12	2.5%	0.2%
Autostrade	9.0%	Italy	14	-3.1%	-0.3%
Euronext	7.8%	Netherlands	6	12.6%	1.3%
CEMIG Pref	7.0%	Brazil	7	4.2%	0.4%
Unnamed Utility	6.7%	Europe		6.7%	0.7%
Banca Intesa	4.4%	Italy	37	4.4%	0.4%
Central Japan	3.9%	Japan	23	5.6%	0.6%
Hyundai Mobis	3.4%	Korea	8	3.5%	0.3%
Altria	8.7%	US	158	-1.1%	-0.1%
Kraft	-2.3%	US	47	0.6%	0.1%
Gazprom	5.2%	Russia	161	12.1%	1.2%
Gazprom ADR	-3.9%	Russia	190	-3.6%	-0.4%
	89.6%			80.5%	8.0%

Positions Contributing Most to P&L in Calendar 2005

Biggest Winners	Strategy	% of 2005 Trading Gains
Deutsche Boerse	Long	21.3%
Euronext	Long	10.2%
CEMIG	Long	7.4%
Link REIT	Long	6.5%
KT&G	Long	6.0%
Unnamed European Utility	Long	5.7%
Altadis	Long	4.5%
Perusahaan Gas	Long	3.3%
LG Corp	Long	3.1%
Banca Intesa	Long	3.0%
New World Dev	Long	2.7%
Autor Sud	Long	2.4%
Vinci	Long	2.4%
Hyundai Mobis	Long	2.2%
Transneft	Long	2.1%
Unnamed Japanese Utility	Long	1.8%
Cemex ADR	Long	1.6%
Eiffage	Long	1.5%
Autostrade	Long	1.4%
		89.1%
Biggest Losers	Strategy	% of 2005 Trading Gains
Asia Energy	Long	-1.3%
Hyundai Motor Co	Short	-0.9%
LG Phillips	Short	-0.8%
		3.0%

Source: TCI

Appendix 2 – End Quarter Sector and Country Exposure



Source: TCI

Sum of Exposure			Country																			Grand Total
Strategy	Long/Short	Sector	Brazil	China	France	Germany	Hong Kong	India	Indonesia	Italy	Japan	Korea	Malaysia	Mexico	Netherlands	Russia	Spain	Thailand	UK	US		
Outright	Long	Diversified Financial Services				18.7%									7.8%						26.5%	
		Commercial Banks	0.1%						8.5%		8.1%											16.7%
		Electric Utilities	9.7%															6.7%		0.5%		16.3%
		Real Estate					13.4%					1.0%										14.8%
		Transportation Infrastructure			3.4%		0.5%				9.0%			0.6%								13.5%
		Food, Drink and Tobacco											0.4%					10.2%			0.3%	10.8%
		Road & Rail										3.9%		3.4%								3.9%
		Auto Components												3.4%								3.4%
		Construction Materials														3.3%						3.3%
		Independent Power Producers & Energy Tra			0.4%							2.4%			3.3%							2.8%
		Gas Utilities							0.3%	2.0%												2.3%
		Oil, Gas & Consumable Fuels					0.7%										0.0%			0.5%	0.0%	1.2%
		Multi-Utilities									1.0%											1.0%
		Media												0.8%								0.8%
		Metals & Mining												0.4%								0.4%
		Multiline Retail								0.1%												0.1%
		Household Durables																	0.1%			0.1%
		Electronic Equipment & Instruments												0.1%								0.1%
		Construction & Engineering				0.0%							0.0%									0.0%
	Insurance										0.0%										0.0%	
	Long Total		9.8%	3.8%	0.0%	18.7%	14.7%	8.8%	2.1%	18.0%	7.3%	4.9%	0.6%	3.3%	7.8%	0.0%	16.8%	0.5%	0.8%	0.0%	117.9%	
	Short	Independent Power Producers & Energy Tra	0.0%																		0.0%	
		Automobiles										0.0%									0.0%	
		Electronic Equipment & Instruments										-0.8%									-0.8%	
		Hotels, Restaurants & Leisure				-1.4%															-1.4%	
	Short Total		0.0%			-1.4%						-0.8%									-2.2%	
Outright	Total		9.8%	3.8%	0.0%	17.4%	14.7%	8.8%	2.1%	18.0%	7.3%	4.1%	0.6%	3.3%	7.8%	0.0%	16.8%	0.5%	0.8%	0.0%	115.7%	
Pair	Long	Food, Drink and Tobacco																			8.7%	
		Oil, Gas & Consumable Fuels															5.2%				5.2%	
		Automobiles					2.8%														2.8%	
		Textiles, Apparel & Luxury Goods																		0.0%	0.0%	
		Internet & Catalog Retail																		0.0%	0.0%	
	Long Total					2.8%											5.2%				16.8%	
	Short	Textiles, Apparel & Luxury Goods																		0.0%	0.0%	
		Internet & Catalog Retail																		0.0%	0.0%	
		Food, Drink and Tobacco																			-2.3%	
		Automobiles					-2.9%														-2.9%	
		Oil, Gas & Consumable Fuels														-3.9%					-3.9%	
		Short Total					-2.9%											-3.9%		0.0%	-2.3%	-9.1%
Pair Total					0.0%													1.3%		0.0%	7.6%	
Grand Total			9.8%	3.8%	0.0%	17.3%	14.7%	8.8%	2.1%	18.0%	7.3%	4.1%	0.6%	3.3%	7.8%	1.3%	16.8%	0.5%	0.8%	6.4%	123.4%	

Source: TCI

Statistical Appendix Since Inception

Period	Master Fund Assets €m	Class A (3yr) \$	Class B (5yr) \$	Class A (3Yr) €	MSCI Europe (€)	S&P500 (\$)	MSCI World (\$)
January 04	374.8	+1.36%	+1.41%	+1.44%	+1.60%	+1.73%	+1.54%
February	531.7	+5.08%	+5.26%	+5.09%	+2.17%	+1.22%	+1.55%
March	553.6	+2.75%	+2.78%	+2.93%	-2.64%	-1.64%	-0.89%
Q1		+9.44%	+9.71%	+9.73%	+1.06%	+1.28%	+2.20%
April	734.6	+3.70%	+3.77%	+3.88%	+1.58%	-1.68%	-2.22%
May	872.1	+0.40%	+0.43%	+0.45%	-1.46%	+1.21%	+0.67%
June	1,081.2	+2.82%	+2.90%	+2.86%	+1.72%	+1.80%	+1.91%
Q2		+7.05%	+7.23%	+7.33%	+1.81%	+1.30%	+0.32%
July	1,088.4	-0.24%	-0.24%	-0.20%	-2.15%	-3.43%	-3.34%
August	1,113.9	+0.85%	+0.88%	+0.94%	-0.48%	+0.23%	+0.26%
September	1,172.8	+4.86%	+5.00%	+4.90%	+2.33%	+0.84%	+1.77%
Q3		+5.50%	+5.67%	+5.67%	-0.35%	-2.30%	-1.38%
October	1,187.3	+2.35%	+2.41%	+2.34%	+1.37%	+1.40%	+2.37%
November	1,434.6	+4.93%	+5.31%	+5.09%	+2.43%	+3.86%	+5.09%
December	1,588.5	+6.94%	+7.13%	+6.86%	+2.79%	+3.25%	+3.73%
Q4		+14.85%	+15.54%	+14.93%	+6.73%	+8.73%	+11.59%
2004		+41.95%	+43.65%	+43.04%	+9.43%	+8.99%	+12.84%
January 05	1,960.4	+6.45%	+6.68%	+6.51%	+1.45%	-2.53%	-2.31%
February	2,265.0	+3.80%	+3.90%	+3.83%	+2.72%	+1.89%	+3.01%
March	2,274.7	-1.07%	-1.07%	-1.04%	-0.74%	-1.91%	-2.17%
Q1		+9.32%	+9.65%	+9.44%	+3.44%	-2.59%	-1.55%
April	2,502.1	-0.02%	-0.02%	-0.05%	-3.07%	-2.01%	-2.39%
May	2,855.7	+3.46%	+3.59%	+3.46%	+4.40%	+3.00%	+1.52%
June	3,270.9	+6.15%	+6.35%	+6.15%	+3.24%	-0.01%	+0.71%
Q2		+9.80%	+10.14%	+9.77%	+4.48%	+0.91%	-0.21%
July	3,624.3	+4.47%	+4.61%	+4.41%	+4.06%	+3.60%	+3.43%
August	3,754.4	+2.03%	+2.08%	+1.88%	-0.51%	-1.12%	+0.56%
September	4,055.2	+7.11%	+7.31%	+7.03%	+4.33%	+0.69%	+2.47%
Q3		+14.17%	+14.59%	+13.86%	+8.01%	+3.15%	+6.57%
October	4,049.8	-3.68%	-3.77%	-3.80%	-2.81%	-1.77%	-2.49%
November	4,605.2	+5.06%	+5.20%	+5.06%	+3.37%	+3.52%	+3.14%
December	5,420.5	+7.92%	+8.12%	+7.72%	+3.73%	-0.10%	+2.14%
Q4		+9.21%	+9.45%	+8.86%	+4.21%	+1.59%	+2.73%
2005		+49.66%	+51.48%	+48.90%	+21.65%	+3.00%	+7.56%
Inception 1/04		+112.44%	+117.60%	+112.99%	+33.12%	+12.26%	+21.37%

Sources: Citco Fund Services; Bloomberg LP, TCI